

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD., *Respondent and
Third-Party Complainant*

v.

SAMSUNG ELECTRONICS COMPANY, LTD.; SAMSUNG SDS
GLOBAL SCL ASIA PACIFIC PTE. LTD.; AND SAMSUNG
ELECTRONICS LOGITECH COMPANY, LIMITED,
Third-Party Respondents.

DOCKET NO. 24-16

Served: May 5, 2026

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge.*

**ORDER GRANTING RESPONDENT AND THIRD-PARTY COMPLAINANT’S MOTION TO
VOLUNTARILY DISMISS COUNTERCLAIM AND THIRD-PARTY COMPLAINT¹**

I. Procedural History and Background

On May 12, 2025, COSCO Shipping Lines Co., Ltd. (COSCO) filed an answer to the Amended Complaint filed by Samsung Electronics America, Inc. (SEA), and alleged a counterclaim (CC or Counterclaim). The counterclaim alleges that the SEA violated 46 U.S.C. § 41102(a) by “concealing its position regarding the provisions of the Service Contracts that explicitly make Samsung/SEA responsible for detention and demurrage charges resulting from SEA/its CNTs’ delays until after the Service Contracts expired and Samsung and SEA had gained the benefits of its deceit, then demanding repayment of charges it had agreed to pay in the first place.” Counterclaim at pg. 39, ¶ 72. It further alleges that SEA has refused to pay detention charges of “over \$4,000,000, plus interest and costs” and that “COSCO suffered additional actual damages in the approximate amount of \$32,000,000, plus interest and costs, relating to SEA’s failure to pay otherwise applicable rates.” *Id.* at pg. 40, ¶¶ 75-76.

¹ This order will become the order of the Commission in the absence of review by the Commission. Any party may file exceptions to this order within twenty-two days of the date of service. 46 C.F.R. § 502.227.

On May 13, 2025, notice was given that COSCO filed a third-party complaint (TPC) alleging that Samsung Electronics Company, Ltd. (SEC), Samsung SDS Global SCL Asia Pacific Pte. Ltd.² (SDS AP), and Samsung Electronics Logitech Company, Limited³ (Logitech) (collectively, Third-Party Respondents or Samsung) violated 46 U.S.C. § 41102(a) by entering into service contracts with COSCO that they knew would require them to pay per diem charges associated with “store door” deliveries while knowingly disagreeing with the terms and demanding refunds or waiver of those charges and other acts or omissions.

On June 6, 2025, SEA filed a Motion to Dismiss Respondent’s Counterclaim (SEA MTD CC). COSCO filed an opposition to SEA’s MTD Counterclaim (COSCO CC Opp) on June 23, 2025, and SEA filed a reply on July 1, 2025 (SEA CC Reply).

On June 6, 2025, the Third-Party Respondents jointly appeared for the limited purpose of filing a motion to dismiss the TPC for insufficient service in foreign jurisdictions that are subject to the terms of the Hague Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil and Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638 (Hague Convention). After filing a Motion to Permit Alternative Service Under Fed. R. Civ. P. 4(f)(3), COSCO proceeded to complete service of the TPC on all three Third-Party Respondents between July 8, 2025, and October 22, 2025, pursuant to the terms of the Hague Convention. (*See* Dkt. # 55, # 64, # 84).

On August 4, 2025, SDS AP filed a motion to dismiss the TPC filed by COSCO (SDS AP MTD). On August 11, 2025, SEC filed a motion to dismiss the TPC filed by COSCO (SEC MTD). On November 14, 2025, Logitech filed a motion to dismiss the TPC filed by COSCO (Logitech MTD). COSCO opposed all three motions to dismiss in a timely manner. The Third-Party Respondents each filed replies to COSCO’s oppositions. The motions to dismiss the CC and the TPC all raise substantially similar arguments.

After two status conferences with the parties regarding the numerous outstanding motions and related discovery issues, and prior to the issuance of a decision on the motions to dismiss, COSCO filed a Motion to Voluntarily Dismiss the Counterclaim and Third-Party Complaint (MVD) on April 8, 2026. The motion states that it seeks voluntary dismissal of the CC and TPC, and absent “clear legal prejudice” to the opposing party, courts routinely grant such requests. MVD at 1 (citing *Kellmer v. Raines*, 674 F.3d 848, 851 (D.C. Cir. 2012) (“In order to deny a motion for voluntary dismissal, a district court ‘must find that dismissal will inflict clear legal prejudice on a defendant.’”); *Conafay v. Wyeth Labs.*, 841 F.2d 417, 419 (D.C. Cir. 1988) (holding that district court abused its discretion in denying plaintiff’s motion for voluntary dismissal)). COSCO’s motion does not state that it seeks dismissal without prejudice, and it offers no reason for requesting dismissal of the claims.

² The correct legal name of the entity is Samsung SDS Asia Pacific Ptd Ltd. SDS Motion to Dismiss Third-Party Complaint (SDS AP MTD) at 1.

³ The correct legal name of the entity is Samsung Electronics Logitech Company, Ltd. Logitech Motion to Dismiss Third-Party Complaint (Logitech MTD) at 1.

On April 10, 2026, SEA filed a response to the motion, agreeing that the claim should be dismissed, but arguing that it should be dismissed with prejudice. Samsung Electronics America, Inc.’s Response in Support of Motion to Withdraw Counterclaim, at 1 (“While COSCO is correct that SEA is not claiming prejudice by way of the dismissal of COSCO’s improvident counterclaim, SEA has certainly been prejudiced by COSCO’s insistence on pursuing these meritless and wasteful legal strategies.”). The Third-Party Respondents filed an essentially identical response to the motion urging dismissal of the TPC with prejudice. Neither response cited any cases in support of dismissal with prejudice, but both referenced their pending motions to dismiss as well as March 2026 letters they sent to COSCO referencing a March 20, 2026, order on fee petition issued in a similar case, which is discussed further below. On April 13, 2026, both SEA and Third-Party Respondents re-filed their responses to the motion for voluntary dismissal with the missing March 2026 letters attached.

On April 13, 2026, COSCO replied to the responses and asserted that the CC and TPC should be dismissed without prejudice, citing Commission Rule 72(a)(3), which states “‘an action may be dismissed at the complaint’s request only by order of the presiding officer, on terms the presiding officer considers proper... *Unless the order states otherwise, a dismissal under this paragraph is without prejudice.*’ 46 C.F.R. § [502.72(a)(3)] (emphasis added).” COSCO Reply at 1-2.

Based on consideration of the parties’ filings, the Commission’s Rules, case law, and as discussed in greater detail below, COSCO’s motion for voluntary dismissal of the CC and the TPC is **GRANTED**, the Counterclaim and the Third-Party Complaint are **DISMISSED WITHOUT PREJUDICE**, the motions to dismiss the CC and TPC are **DENIED AS MOOT**, and the motion to permit alternative service of the TPC is **DENIED AS MOOT**. All other outstanding motions will be addressed in a separate order.⁴

II. Discussion

SEA and the Third-Party Respondents do not oppose COSCO’s motion for voluntary dismissal, but they argue that the CC and TPC should be dismissed with prejudice. They further argue that COSCO’s pursuit of meritless claims through the CC and TPC has resulted in unnecessary and time-consuming motions to dismiss, and a voluntary dismissal without prejudice will not provide the finality that is warranted under these circumstances. COSCO filed a reply in which it again relies on *Kellmer v. Raines* and *Conafay v. Wyeth Labs.*, asserting that the pending motions to dismiss are “are not grounds for dismissal with prejudice” and noting that the plaintiff in *Kellmer* “moved to [voluntarily] dismiss...while the defendant’s motion to dismiss was pending.” COSCO Reply at 2. The issue of whether to dismiss the CC and TPC with prejudice or without prejudice warrants further consideration of the parties’ arguments.

Voluntary dismissal by order of the presiding officer is set forth in 46 C.F.R.

⁴ Two motions to quash have been filed, one by SDS AP and one by SDS America; the latter has been a non-party throughout this proceeding. In addition, three motions to compel remain outstanding: two filed by SEA and one by COSCO.

§ 502.72(a)(3), which is similar to Federal Rules of Civil Procedure Rule 41(a)(2). COSCO asserts that the wording in the last sentence of Section 502.72(a)(3) indicates that the motion should be granted without prejudice. It states: “*Unless the order states otherwise*, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3) (emphasis added). While there is no requirement in that sentence to grant the motion without prejudice, it indicates that voluntary dismissals typically are granted without prejudice. Section 502.72(a)(3) is silent regarding the basis on which an order may be granted with prejudice. Accordingly, because it is consistent with sound administrative practice, I turn to the Federal Rules of Civil Procedure and cases that apply FRCP 41(a)(2). *See* 46 C.F.R. § 502.12.

FRCP 41(a)(2) was discussed recently in *International Express Trucking, Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-20, 2025 WL 2695727 (ALJ Sept. 17, 2025), where COSCO took the opposite position it now takes; there, COSCO argued that it would be prejudiced if a voluntary dismissal without prejudice was granted because it would have to duplicate the costs and efforts of defending the claims if complainant brought a new complaint. *IXT v. COSCO* (Initial Decision Granting Motion to Dismiss Without Prejudice) at *2. The ALJ discussed the approaches the courts have taken in deciding motions for voluntary dismissal:

Federal courts take two approaches to determining whether a dismissal without prejudice would create a ‘clear legal prejudice.’ The majority of courts use a multifactor test that weighs: (1) the defendant’s effort and expense in preparing for trial; (2) excessive delay and lack of diligence by the plaintiff in prosecuting the action; (3) the adequacy of plaintiff’s explanation of the need to take a dismissal; and (4) the stage of the litigation at the time of the motion (a defendant’s pending summary judgment motion would, for example, be relevant to this factor). *In re Vitamins Antitrust Litig.*, 198 F.R.D. 296, 304 (D.D.C. 2000); *See also N.S. by & through S.S. v. D.C.*, 272 F. Supp. 3d 192, 197 (D.D.C. 2017) (collecting cases setting forth the majority view). The minority approach rejects the considerations identified in this test as insufficient to warrant denying a voluntary dismissal motion, instead focusing on whether the defendant would lose a legal claim or defense in future litigation. *Id.* at 197-198 (D.D.C. 2017) (citing cases setting forth the minority view). The D.C. Circuit has stated that granting of a voluntary dismissal motion should be virtually automatic, although it has at times applied the majority four-part test. *Id.* at 199.

IXT v. COSCO at *2.

The parties do not address either test explicitly, although COSCO refers to certain of the factors as favoring dismissal without prejudice. Applying the majority multifactor test, factors (1), (2), and (4) favor granting the dismissal. Regarding the first factor, the effort and expense of preparing for trial, COSCO relies on two D.C. Circuit cases to support its position that the dismissal should be granted. These cases hold that a voluntary dismissal should be granted “if the only harm suffered by the defendant is the expense of preparing a responsive pleading....” because ‘he can be made whole if dismissal is conditioned upon reimbursement by the plaintiff.’” *Conafay*, 793 F.2d 350, 353 (noting, *Exercise of Discretion in Permitting Dismissals Without Prejudice Under Federal Rule 41(a)*, 54 Col.L.Rev. 616, 618 (1954)).

In *Conafay*, the plaintiff moved for voluntary dismissal after learning from a deposition that a doctor should be joined as a necessary party, which would require the claims to be pursued in state court. The district court denied the motion and granted defendant's motion for summary judgment that was filed after the motion for voluntary dismissal, but the court was silent on its reasons for denying the voluntary dismissal. The circuit court remanded to the district court with "instructions to provide reasons for the court's determination [to deny voluntary dismissal]." *Conafay* 793 F.2d at 354. After the remand, the district court provided its reasons for denying the motion for voluntary dismissal and the case was returned to the circuit court. *Conafay v. Wyeth Laboratories*, 841 F.2d 417 (D.C. Cir. 1988) ("*Conafay II*") (per curiam). The appeals court held that absent legal prejudice, a voluntary dismissal must be granted:

While the parameters of 'legal prejudice' are not absolutely clear, it is nevertheless certain that the term in this context means 'something other than the necessity that defendant might face of defending another action. That kind of disadvantage can be taken care of by a condition that plaintiff pay to defendant its costs and expenses incurred in the first action.' (internal citations omitted).

Conafay II, 841 F.2d at 419. Neither SEA nor the Third-Party Respondents stated in their responses that they were seeking reimbursement of their costs in defending the CC or TPC at this stage of the proceeding. Moreover, COSCO's motion arises in a very different context from the cases where plaintiff seeks dismissal of the original complaint, as in *Conafay*. Here, the underlying action will continue to be litigated, and the conclusion of that litigation will present an opportunity for either party to seek attorney fees.

Kellmer, the second case cited by COSCO, was one of three shareholder derivative actions filed against directors of Fannie Mae alleging accounting errors. 674 F.3d 848, 849. After the district court consolidated the three actions, Fannie Mae moved to dismiss *Kellmer* and one of the other two proceedings. While those motions were pending, FHFA, a federal housing agency, was established as the conservator of Fannie Mae. The district court then granted a motion by FHFA to substitute itself for the shareholders, then denied FHFA's motion for voluntary dismissal without prejudice, which FHFA had filed to allow time for it to decide whether to it should proceed with the consolidated lawsuits. The court then granted Fannie Mae's motion to dismiss *Kellmer* with prejudice on the basis that the claim preclusion. *Kellmer* appealed the substitution order and FHFA appealed the denial of its motion for voluntary dismissal, arguing that "Fannie Mae's motions to dismiss with prejudice should have been denied as moot." *Id.* at 850. The appeals court again held that, "[t]o be sure, granting voluntary dismissal would deprive directors of an opportunity for a favorable final disposition. But 'los[ing] an opportunity for a favorable final disposition of the case ... is not important as long as [defendant] suffers no legal prejudice from dismissal.'" *Id.* at 851 (quoting *Conafay II*, 841 F.2d at 420). No legal prejudice was found, and the Court noted that if FHFA refiled the complaint, the "directors' argument for dismissing the case with prejudice, based on a purely legal ground of claim preclusion, would remain fully available." *Id.* The denial was reversed and remanded to the district court to dismiss without prejudice and deny the motion to dismiss as moot.

SEA and the Third-Party Respondents argue that COSCO's pursuit of "meritless and wasteful legal strategies" through the CC and TPC are a basis for dismissing them with prejudice which would provide finality, preventing COSCO from raising them again. Samsung Electronics America, Inc.'s Response in Support of Motion to Withdraw Counterclaim at 1. As discussed above, factor (1), absent other considerations, has not been found by the courts to amount to legal prejudice. SEA and the Third-Party Respondents argue that "[a] dismissal with prejudice is legally appropriate for dismissal of meritless claims and practically necessary to bring complete finality and prevent these claims from being advanced in the future." *Id.* at 2. Rather than defending against these claims once, SEA and some of the Third-Party Respondents have defended against them several times.

COSCO's motion for voluntary dismissal was filed after similar counterclaims and/or third-party complaints were unsuccessfully raised by other ocean carriers against SEA. In *Samsung Electronics America, Inc. v. SM Line Corporation*, Docket No. 23-01 (SEA 23-01), the administrative law judge (ALJ) denied respondent's renewed motion for leave to file a third-party complaint, finding that the third-party claims "do not state a plausible Shipping Act claim on their face, and therefore fail to satisfy Rule 62(b)(4)." SEA 23-01, Order Denying Motion for Leave to File Third-Party Complaint (ALJ January 31, 2024), slip op at 2. There, SM Line moved to file a third-party complaint against third-party respondents owned by the same parent company as SEA, which negotiated and executed the service agreements with SM Line, and which SM Line contended "seek to recover improper detention and demurrage charges which...[they] would not be entitled to recover under the terms of their service agreements with SM Line." *Id.*

In *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited v. Samsung Electronics Company, Ltd.*, Dkt. No. 24-17 (SEA 24-17), the counterclaim and third-party complaint in a similar case involving SEA and different ocean carriers were dismissed twice: first, the CC by the same ALJ who denied SM Line's motion to file a third-party complaint in 23-01, and then both the amended CC and amended TPC, by another ALJ. While the Commission affirmed the first dismissal of the CC, it granted leave to amend while expressing uncertainty that respondents could successfully state a claim under the theory on which it relied ("...although it is not evident that the additional conduct OOCL has described would present a plausible claim under section 41102(a), it is also not clear that such an amendment would necessarily be futile"). The subsequent dismissals of both the CC and the TPC demonstrated that respondents could not. *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited v. Samsung Electronics Company, Ltd.*, Dkt. No. 24-17, 2025 WL 2207363 at *12 (FMC July 30, 2025) (Commission Order Affirming Dismissal of Counterclaim); *SEA 24-17*, 2025 WL 3435682 (Nov. 26, 2025) (Order Granting Complainant's Motion to Dismiss Respondents' Amended Counterclaim and Third-Party Respondent's Amended Motion to Dismiss the Amended Third-Party Complaint).

After dismissal of the CC and TPC and the amended CC and TPC in SEA 24-17, SEA filed a fee petition, which was denied, but the ALJ stated in his March 20, 2026, order:

As discussed above, I would be inclined to agree that OOCL pursued a meritless counterclaim and third-party complaint but for the fact that the Commission permitted OOCL to amend its counterclaim (and, by logical extension, the substantially similar third-party complaint).

SEA 24-17, 2026 WL 794116 at *13 (ALJ March 20, 2026) (Order Denying Third-Party Respondent's Petition for an Award of Attorneys' Fees, Denying Complainant's Petition for Attorneys' Fee, and Denying Complaint's Motion to Supplement its Petition for Attorney Fees).

The counterclaim, third-party complaint, and arguments made by COSCO in opposition to the motions to dismiss in this proceeding do not differ in any meaningful way from those made by OOCL in case 24-17 and are redolent of those raised by SM Line in SEA 23-01. These similarities in theory and the impact of continuing such claims months after substantially similar claims were not allowed to proceed (23-01), or were dismissed (24-17), in two other proceedings initiated by SEA against other ocean carriers, raises concerns that the TPC and CC filed by COSCO here were intended to create delay, deflect from discovery issues, and increase costs for SEA and the Third-Party Respondents. But those considerations have not been discussed by the courts as reasons to deny a motion for voluntary dismissal. Moreover, the delay in this proceeding is not the type addressed in cases applying factor (2), where plaintiff fails to prosecute a claim. COSCO did not fail to prosecute the TPC or the CC and, as COSCO asserts, the litigation is at an early stage. Accordingly, both factors (2) and (4) favor granting the dismissal. Even finding the timing of COSCO's motion suspect in terms of the long-standing motions to dismiss and several decisions rejecting the legal theory as implausible, the balance of factors remains in favor of granting the dismissal, especially when, as here, SEA and the Third-Party Respondents support it.

Neither of the D.C. Circuit cases on which COSCO relies discuss factors to consider in dismissing with or without prejudice, the only aspect of COSCO's motion in dispute. In *Conafay II*, the appellant sought dismissal to join a necessary party, a doctor, which it could not do in federal court because it would lose diversity jurisdiction, requiring appellant to refile in state court to join the doctor. In that case, granting the voluntary dismissal without prejudice would allow the case to proceed in state court with the drug manufacturer and the doctor as defendants. In *Kellmer*, the FHFA was the newly created conservator of Fannie Mae and needed time to assess whether to continue the proceedings. Thus, a dismissal without prejudice was important to FHFA to maintain the ability to refile if that was determined the best course of action for the newly created conservator. Here, COSCO has not indicated it has any intention of refiling, or that its request to voluntarily dismiss the CC and the TPC is to reassess the claims or bring them in another forum. Moreover, COSCO offers no reason for the request for voluntary dismissal in its motion, stating only in its reply: "COSCO seeks to dismiss its claims without prejudice to streamline this action, focus on SEA's claims, and avoid additional time and expense." COSCO Reply at 3. Given its sudden interest in streamlining the litigation and avoiding additional time and expense to focus on the claims made by SEA in light of the decisions made in 23-01 and 24-17, the adequacy of COSCO's explanation for seeking dismissal of the CC and the TPC (factor (3)) does not support granting the dismissal.

Weighing all the factors, and because the parties agree with and support the voluntary dismissal, the CC and TPC are dismissed. While SEA and the Third-Party Respondents raise the

issue of dismissing the claims with prejudice because they seek finality, the case law does not support denial of the motion on that basis alone. Moreover, granting the motion with prejudice could preclude COSCO from raising potential breach of contract claims in district court. *See* CC ¶ 75; TPC ¶ 70. For that reason alone, in the interest of not foreclosing COSCO from asserting claims in another forum, I grant the motion without prejudice.

III. Order

Based on the above, it is hereby

ORDERED that COSCO's Motion to Voluntarily Dismiss Counterclaim and Third-Party Complaint is **GRANTED**, and COSCO's Counterclaim and Third-Party Complaint are **DISMISSED WITHOUT PREJUDICE**. It is

FURTHER ORDERED that the motions to dismiss filed by SEA, SEC, SDS AP, and Logitech, are **DENIED AS MOOT**. It is

FURTHER ORDERED that the Motion to Permit Alternative Service Under Fed. R. Civ. P. 4(f)(3) is **DENIED AS MOOT**.

All remaining outstanding motions will be addressed in a separate order.

The Secretary is requested to revert to the original caption in this proceeding, removing COSCO's designation as Third-Party Complainant and removing Samsung Electronics Company, Ltd., Samsung SDS Global SCL Asia Pacific Pte. Ltd., and Samsung Electronics Logitech Company, Limited as Third-Party Respondents.



Linda S. Harris Crovella
Administrative Law Judge